

9 MOVING AVERAGE CONVERGENCE & DIVERGENCE (MACD)



Moving Average Convergence and Divergence is a technical indicator that is built around the concept of moving averages and the convergences and divergences. MACD is a two-line indicator- the first line is the MACD line itself and the second line is a short-term moving average of the MACD line. Here, the second line is a moving average of the MACD line and not of the closing price of the asset. The intersection between the two is used to generate trading signals.

MACD line is derived from the difference between two lines – 26 Day Exponential Moving Average and 12 Day Exponential Moving Average. The difference between the two creates the MACD line and shows the degree of convergence and divergence. We saw that when the convergence of moving averages occurs, the moving averages come together and the difference between them goes down. As a result, we can say that closer the MACD line is to zero, the more likely is it a case of convergence. Farther away is it from zero, more likely is it a case of divergence. If the MACD line is on the positive side, we can say that the divergence is on the bullish side i.e. the 12 DMA is greater than the 26 DMA. The opposite is true on the other side.

The second component is the simple 9 Day SMA of the MACD line itself and we will use crossovers to generate buy and sell signals for the same. We also have bars on the graph that show the difference between the MACD line and the 9 Day SMA.